

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 22, Honorable Beth McGowen Presiding

Farris Bryant, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: (408) 882-2340

To contest a tentative ruling, you must:

1. Call (408) 808-6856 before 4:00 P.M. and leave a voicemail message containing the information described below, and
2. Notify the other side before 4:00 P.M. that you will appear at the hearing to contest the tentative ruling.

In the voicemail message, please state your case name, case number, the name of the attorney, who you represent (Plaintiff or specific defendant) and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested.

PLEASE NOTE:

- If you do not notify the Court and/or opposing side as required by California Rule of Court, rule 3.1308(a)(1) and Civil Local Rule 8(E), the Court will not hear argument and the tentative ruling will be adopted even if all parties appear at the hearing.
- Sending an email to the department or to the Complex Clerk will no longer suffice to constitute notice to the Court of the need for a hearing regarding a tentative ruling.

Court Reporters are not provided. Please consult our Court's website, www.scscourt.org, for the rules, policies, and required forms for appointment by stipulation of privately-retained court reporters.

- **Parties can appear either in person or remotely.** All remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely.
- As a reminder, state and local Court Rules prohibit recording of court proceedings without a Court order. This prohibition applies while in the courtroom and while appearing remotely.

DATE: June 25, 2026 TIME: 1:30 P.M.

**PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

LINE #	CASE #	CASE TITLE	RULING
LINE 1	25CV467513	Bucks County Employees' Retirement System et al vs Timothy Cook et al	Motion: Stay is GRANTED in part Click on line 1 for tentative ruling
LINE 2	23CV424299	Lainez v. Epicurean Group (Class Action/PAGA)	Motion: Preliminary Approval is GRANTED Click on line 2 for tentative ruling
LINE 3	25CV478501	Jose Duran vs Blue's Roofing Co.	Hearing: Motion to Dismiss claims, Motion to Compel Arbitration and for Stay, is GRANTED in part and DENIED in part Click on line 3 for tentative ruling
LINE 4	24CV453028	Amar Bhakta vs Apple, Inc.	Motion: Judgment on Pleadings is GRANTED with leave to amend Click on lines 4-5 for tentative ruling
LINE 5	24CV453028	Amar Bhakta vs Apple, Inc.	Motion: Bifurcate is DENIED
LINE 6	25CV470518	SARINA HALEY et al vs FF PROPERTIES, L.P et al	Motion: Compel Arbitration is GRANTED Click on line 6 for tentative ruling
LINE 7			
LINE 8			
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LINE 13			

Calendar Line 1

Case Name: *Bucks County Employees' Retirement System et al. v. Timothy Cook et al.*
Case No.: 25CV467513

This is a putative shareholder derivative action brought on behalf of nominal defendant Apple, Inc. against nine of its current and former officers and directors (the “Individual Defendants”) for breach of fiduciary duty. Defendants now move to stay this action pending the resolution of certain allegations in a federal securities class action, *City of Coral Springs Police Officers' Pension Plan v. Apple Inc.* (N.D. Cal. 2025) No. 5:25-cv-06252-NW (the “Securities Class Action” or “*Coral Springs*”). The motion is opposed. As discussed below, the Court GRANTS IN PART the motion, such that this action is stayed until the resolution of the pending motion to dismiss in the Securities Class Action.

I. Background

Plaintiffs allege that the Individual Defendants caused or allowed Apple to willfully violate an injunction entered in *Epic Games, Inc. v. Apple Inc.* (N.D. Cal. 2020) No. 4:20-cv-05640-YGR (the “Epic Injunction”). The Epic Injunction barred Apple from prohibiting developers from steering customers to non-Apple purchasing mechanisms. On April 30, 2025, the federal district court held Apple in civil contempt for violating the Epic Injunction (the “Contempt Order”). Plaintiffs filed this action in June 2025, without first making a demand on Apple’s Board, alleging that demand would have been futile.

Soon thereafter, in July 2025, the Securities Class Action was filed in federal court, asserting claims under Sections 10(b) and 20(a) of the Securities Exchange Act. As relevant here, that action alleges that Apple and certain officers made false or misleading statements that Apple had complied with the Epic Injunction when, in fact, Apple was willfully violating it. After a lead plaintiff was appointed, an amended complaint was filed in January 2026 that substantially expanded the *Epic*-related allegations. Apple’s motion to dismiss is fully briefed and awaiting decision. Discovery in the Securities Class Action is stayed under the Private Securities Litigation Reform Act (PSLRA).

After the instant motion to stay was filed, the United States Court of Appeals for the Ninth Circuit, on December 11, 2025, affirmed the district court’s contempt finding, affirmed in part and reversed in part the contempt remedies, and remanded. (*Epic Games, Inc. v. Apple Inc.* (9th Cir. 2025) 161 F.4th 1162.) Rehearing was denied and the mandate issued; Apple has filed a petition for a writ of certiorari that remains pending.¹

II. Legal Standard

“Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 (*Freiberg*)). “[W]hen a federal action has been filed covering the same subject matter as involved in the California action, the California court has the discretion but not the obligation to stay the state court action.” (*Caiafa Pro. Law Corp. v. State Farm Fire & Cas. Co.* (1993) 15 Cal. App. 4th 800, 804 (*Caiifa*); see also *Thomson v. Contl. Ins. Co.* (1967) 66 Cal.2d 738, 746.) In exercising its discretion, the Court considers whether a stay will avoid the possibility of conflicting rulings, the importance of avoiding unseemly conflicts with other courts, the relative convenience of the forums, and whether the federal action is pending in California and not some other state. (*Caiafa, supra*, 15 Cal.App.4th at 804; *Farmland Irrigation Co. v. Dopplmaier* (1957) 48 Cal. 2d 208, 215.)

A recurring application of these principles is a stay of a shareholder derivative action pending a parallel securities class action. Because a derivative plaintiff acts in a “fiduciary character” for the corporation (*Cohen v. Beneficial Indus. Loan Corp.* (1949) 337 U.S. 541, 549), and a derivative suit exists “to protect the interests of the corporation” (*Kamen v. Kemper Fin. Servs., Inc.* (1991) 500 U.S. 90, 95), numerous courts have stayed derivative actions where simultaneous prosecution would force the company to take inconsistent positions or risk inconsistent rulings. (See, e.g., *In re STEC, Inc. Deriv. Litig.* (C.D. Cal. 2012) 2012 WL 8978155, 2012 U.S. Dist. LEXIS 189167 (*STEC*); *Cucci v. Edwards* (C.D. Cal. 2007) 2007

¹ Several related actions are pending: *Anguka and City of Hialeah* (Super. Ct. Santa Clara 2025) No. 25CV472876; *Western Fund* (Super. Ct. Santa Clara 2026) No. 26CV491926; *City of Hollywood* (N.D. Cal. 2026) No. 5:26-cv-01724; and *In re Apple Inc. AI Deriv. Litig.* (N.D. Cal. 2025) No. 5:25-cv-05364.)

WL 3396234, 2007 U.D. Dist. LEXIS 868832; *In re Rh S'holder Deriv. Litig.* (N.D. Cal. 2019) 2019 WL 580668, 2019 U.S. Dist. LEXIS 11128.) Other courts have declined to stay where the overlap was insufficient or the asserted conflict speculative. (See, e.g., *In re Galena Biopharma, Inc. Deriv. Litig.* (D. Or. 2015) 83 F. Supp. 3d 1033; *Smith ex rel. Apollo Grp., Inc. v. Sperling* (D. Ariz. 2012) 2012 WL 79237, 2012 U.S. Dist. LEXIS 3672; *In re FirstEnergy S'holder Deriv. Litig.* (N.D. Ohio 2004) 219 F.R.D. 584.)

III. Discussion

Defendants contend all the relevant factors weigh in favor of the requested stay. (Memorandum, p. 14:11–22.) They contend that a stay is required to prevent harm to Apple. (*Id.* at pp. 14:23–17:15.) Defendants further argue that, due to the factual overlap between the actions, considerations of efficiency and judicial economy support the issuance of a stay. (*Id.* at pp. 17:16–18:18.) Plaintiffs emphasize that the two actions involve different legal theories. (Opposition, pp. 9:8–11:5.) Plaintiffs further contend that denying the motion will not result in prejudice, and granting the stay will prejudice both Plaintiffs and Apple. (*Id.* at pp. 12:11–17:1.)

A. Overlapping Subject Matter

The threshold issue is whether the actions involve the same subject matter, not whether they assert identical claims or parties. They do. Both this action and the Securities Class Action turn on whether Apple violated the Epic Injunction and whether particular individuals knew of that violation. The derivative complaint alleges that the Individual Defendants caused or allowed Apple to willfully violate the Epic Injunction; the Securities Class Action alleges that Apple and certain officers misrepresented Apple's compliance while knowing it was violating the same injunction.

Plaintiffs argue this action should not be stayed because the cases concern distinct claims and distinct legal theories. (Opposition, pp. 9:8–11:5.) According to Plaintiffs, their breach of fiduciary duty claims in this action are altogether different from the Section 10(b) claims asserted in the Securities Class Action. While Plaintiffs are correct that California

fiduciary duty law and federal Section 10(b) are distinct legal theories, this is not controlling. The relevant inquiry is whether the same factual allegations are at issue. (*STEC, supra*, 2012 U.S. Dist. LEXIS 189167, at *19 [“the law does not require that the parties and the claims be identical”].)

B. Risk of Inconsistent Findings

Defendants persuasively argue that allowing this action to proceed in parallel with the Securities Class Action would place Apple in the position of prosecuting (through Plaintiffs) the contention that Apple knowingly violated the Epic Injunction, while Apple simultaneously opposes that same contention in defendant the Securities Class Action. This is the same conflict that has led courts to stay derivative actions in favor of parallel securities actions because it carries with it a genuine risk of inconsistent factual findings on the overlapping questions of violation and knowledge. The underlying violation of the Epic Injunction is not meaningfully in dispute because the Ninth Circuit has affirmed the contempt findings.

Nevertheless, the question of whether and when the Individual Defendants knowingly cause or permitted non-compliance is an overlapping question that remains in both actions. This question is central both to Plaintiffs’ fiduciary-duty theory and the scienter allegations in the Securities Class Action. This question also remains subject to Apple’s pending certiorari petition. The risk of inconsistent findings regarding that question is sufficient to support the stay of these proceedings.

C. Plaintiffs’ Assertions of Prejudice

Plaintiffs raise several points that the Court has considered. (Opposition, pp. 16:9–17:1.) That this action was filed before the Securities Class Action generally weighs against a stay, but it does not eliminate the present conflict of issues discussed above. That Plaintiffs’ claims arise under California corporate-governance law is significant, but a stay defers rather than displaces this Court’s adjudication of those claims. The Securities Class Action’s presence in a California federal court is a factor favoring a stay under *Caiafa*. Plaintiffs’ argument that an open-ended stay risks complicating their demand-futility allegations as Apple’s Board

changes carries some weight because Apple has announced a transition in the office of Chief Executive Officer. The Court finds this concern legitimate and non-speculative, and it is the primary reason why the Court declines to impose the indefinite stay that Defendants request.

D. Efficiency Favors a Limited Stay

A ruling on the motion to dismiss in the Securities Class Action will likely address whether the Epic-related misrepresentation and scienter allegations are adequately pleaded. Such a ruling would likely result in efficiency gains by narrowing the issues in this action and reducing duplicative litigation of the same conduct. Nevertheless, these efficiency gains can be realized through a defined stay as opposed than the open-ended “final resolution” stay sought by Defendants. A stay limited to the ruling on the pending motion to dismiss in the Securities Class Action balances California’s delay-reduction policies against the risk of inconsistent rulings.

Such a ruling is within the Court’s inherent discretion to enter a stay where substantial justice warrants it. (*Freiberg, supra*, 33 Cal.App.4th at p. 1489 [“[t]rial courts generally have the inherent power to stay proceedings in the interest of justice and to promote judicial efficiency”].)

E. Plaintiffs’ Alternative Requests

In addition to requesting a limited stay, Plaintiffs make several other requests related to the issuance of a stay in this action. (Opposition, pp. 17:2–18:10; Reply, pp. 14:13–15:25.) The Court declines Plaintiffs’ request that it first decide a demand-futility demurrer before ruling on the stay because requiring that briefing now would reproduce the same conflict the stay is intended to avoid. The standing question can be addressed promptly once the stay is lifted, without prejudice to any party. The Court also denies Plaintiffs’ request to conduct or coordinate discovery during the stay because permitting discovery would defeat the purpose of the stay. A derivative plaintiff who has not yet established standing is not entitled to merits discovery. (*Jones v. Martinez* (2014) 230 Cal.App.4th 1248, 1254 [“[t]he proper purpose of discovery in a shareholder derivative action is to find out additional facts about a well-pleaded

claim, not to find out whether such a claim exists”]; see also *Bezirdjian v. O’Reilly* (2010) 183 Cal.App.4th 316, 328.) Discovery in the Securities Class Action is, in any event, stayed under the PSLRA. Plaintiffs’ stated intention to seek consolidation with the related *Western Fund* action² is not before the Court, and any consolidated action will be subject to this stay.

IV. Conclusion

For the reasons stated, the Court GRANTS IN PART Defendants’ motion to stay. This action is STAYED in its entirety. The stay shall remain in effect until the federal district court rules on the pending motion to dismiss the Securities Class Action, at which time the stay shall expire unless it otherwise extended by further order of Court following a noticed motion.

Discovery in this action remains stayed during the pendency of the stay as ordered above. Plaintiff’s request to conduct discovery or obtain discovery produced in the Securities Class Action is DENIED without prejudice.

The Court does not reach the sufficiency of Plaintiffs’ demand-futility allegations, which may be addressed by motion practice after the stay is lifted. If this action is later consolidated with any related derivative action, the consolidated action shall be stayed subject to the stay on the same terms.

The Court will prepare the order.

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² See Opposition, pp. 6:28 – 7:13.

Calendar Line 2

Case Name: *Lainez v. Epicurean Group*

Case No.: 23CV424299

Plaintiff David Isaac Tobar Ortiz (“Plaintiff”) brings this putative wage and hour class action and action pursuant to the Private Attorney Generals Act (“PAGA”) against Defendant Epicurean Group (“Defendant”).³

Before the Court is Plaintiff’s motion for preliminary approval of class action and PAGA settlement. The motion is unopposed. As discussed below, the Court GRANTS the motion.

I. BACKGROUND

Defendant owns and operates a contract food service management company in the State of California. Plaintiff contends that Defendant committed various wage and hour violations while he was employed with Defendant as an hourly prep cook, barista, and cashier from approximately July 2023 to May 9, 2024. On January 3, 2025, Plaintiff filed the operative SAC, which asserts the following causes of action: (1) minimum wage violations (Lab. Code, §§ 1182.12, 1194, 1194.2, 1197); (2) overtime violations (Lab. Code, §§ 204, 510, 1194, 1198); (3) meal period violations (Lab. Code, §§ 226.7, 512, 558); (4) rest period violations (Lab. Code, §§ 226.7, 516, 558); (5) wage statement penalties (Lab. Code, § 226); (6) waiting time penalties (Lab. Code, §§ 201-203); (7) unfair competition (Bus. & Prof. Code, § 17200, et seq.); (8) violations of PAGA (Lab. Code, § 2698, et seq.).

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

³ Former plaintiff Luis Orlando Lainez (“Lainez”) settled directly with Defendant and the parties stipulated to allow the filing of the second amended complaint (“SAC”), which substituted in Plaintiff Ortiz as the named plaintiff.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (s)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency ("LWDA"), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639.)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77, disapproved on another ground in *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664, 710.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public"], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But, a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) [2016 U.S.Dist.LEXIS 140759, at *23-24].)

III. SETTLEMENT PROCESS

Lainez initiated this action on October 13, 2023, with the filing of a class action complaint asserting seven different causes of action on behalf of California consumers. On November 15, 2023, Lainez filed a first amended complaint adding a PAGA claim. The parties subsequently engaged in extensive discovery, with Plaintiff obtaining from Defendant: (1) the number of current/former employees, number of Class Workweeks and PAGA Pay Periods; (2) a 20% sampling of time and payroll records; (3) Defendant's employee handbooks and standalone policy documents; and (4) Plaintiff's personnel records and wage statements. To prepare for mediation, class counsel consulted with an expert data scientist to create a detailed exposure analysis based on the data provided by Defendant. On August 26, 2025, the parties attended a full-day mediation session with Tagore Subramaniam, Esq. a well-respected wage and hour class action mediator. The parties reached the instant settlement agreement during mediation.

IV. SETTLEMENT PROVISIONS

The non-reversionary settlement amount is \$1,300,000.00 to be paid by Defendant.⁴ Attorney fees of \$455,000.00 (or 35 percent of the gross settlement), litigation costs of up to \$25,000.00 and administrative costs not to exceed \$15,950.00 will be paid from the gross settlement amount. Plaintiff will seek a class representative service payment of not more than \$10,000. The PAGA payment will be \$70,000.00, of which \$17,500.00⁵ is reserved for the individual aggrieved employees. The net settlement amount of \$724,050.00 will be allocated to those of the approximately 1,242 class members who do not opt out, resulting in a projected average payment of \$582.97. The approximately 781 aggrieved employees will each receive an average of approximately \$22.41.

Funds associated with checks uncashed after 180 days will be distributed to the California Controller's Unclaimed Property Fund in the name of the participating class member and/or aggrieved employee, leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384, subdivision (b). In exchange for settlement, class members who do not opt out will release:

[The] Released Parties from all claims, rights, demands, liabilities, and causes of action that were alleged in the Action or reasonably could have been alleged based on the facts and legal theories contained in the Operative Complaint, arising during the Class Period, including all of the following claims for relief:

⁴ The settlement agreement contains an escalator clause. However, Defendant's counsel declares that the escalator clause, which was tied to the number of workweeks, was not triggered. (Declaration of Lonnie D. Giamela in Support of Motion for Preliminary Approval, ¶ 2.)

⁵ The motion inaccurately indicates that \$20,000 will be set aside for individual PAGA payments but the settlement agreement provides that \$17,500 will be designated for individual PAGA payments. (See Motion for Preliminary Approval of Class Action and PAGA Settlement, p. 7:1-6; Declaration of William C. Sung in Support of Motion for Preliminary Approval of Class Action and PAGA Settlement ("Sung Decl."), Ex. 1 ("Settlement Agreement"), ¶ 1.33, 3.2.5.)

(1) Minimum Wage Violations; (2) Overtime Wage Violations; (3) Meal Period Violations; (4) Rest Period Violations; (5) Wage Statement Penalties; (6) Waiting Time Penalties; and (7) Unfair Competition (“Released Class Claims”). Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers’ compensation, or claims based on facts occurring outside the Class Period.

(Settlement Agreement, ¶ 5.2.) The PAGA release similarly provides:

All Aggrieved Employees and the LWDA are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from all causes of action and claims for civil penalties, attorneys’ fees and costs under the PAGA that were alleged or reasonably could have been alleged based on the facts and legal theories contained in the Operative Complaint and PAGA Notice, arising during the PAGA Period, including PAGA penalties for: (1) Minimum Wage Violations; (2) Overtime Wage Violations; (3) Meal Period Violations; (4) Rest Period Violations; (5) Wage Statement Penalties; (6) Waiting Time Penalties; and (7) violations of California Labor Code sections 201, 202, 203, 204, 210, 216, 218.6, 226, 226.3, 226.7, 246, 510, 512, 516, 558, 1174, 1182.12, 1194, 1194.2, 1197, 1197.1, 1198, 1199, 2698, et seq., 2699, et seq., and 2802 (“Released PAGA Claims”).

(Settlement Agreement, ¶ 5.3.)

The foregoing release is appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

V. FAIRNESS OF SETTLEMENT

Class Counsel worked with an expert to create an exposure analysis for Plaintiff’s claims. (Sung Decl., ¶ 19.) The maximum realistic recovery for the class was determined at \$2,594,059.00. (*Id.*, ¶ 31.) The settlement amount of \$1,300,000.00 thus represents approximately 50 percent of the forecasted reasonable recovery for the class. (*Ibid.*) Defendant presented multiple defenses on the merits and to class certification and proceeding to trial would involve significant risk and expense. (*Id.*, ¶ 24.) Considering these factors, the settlement achieves a good result for the class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the class.

The Court has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) “Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.” (*Wershba, supra*, 91 Cal.App.4th at p. 254.) Class Counsel seeks \$455,000 in attorneys’ fees, 35 percent of the gross settlement amount. The benefits achieved by the settlement justify an award of attorney fees to class counsel. Class Counsel contends “[t]he requested fee is fair compensation for undertaking complex, risky,

expensive, and time-consuming litigation on a purely contingent fee basis. Class Counsel have incurred substantial attorneys' fees and costs conducting pre-filing investigation, analyzing Plaintiff's claims, conducting legal research, overcoming Defendant's efforts to pick off the original plaintiff and [current] Plaintiff, conducting discovery, analyzing Class Members' time and payroll records, creating a comprehensive damages model, preparing for and attending mediation, negotiating and preparing the long-form Agreement, preparing this Motion, and otherwise litigating the case." (Sung Decl., ¶ 23.) The Court preliminarily finds that the requested attorney fee award is reasonable as a percentage of the common fund. However, prior to the final approval hearing, Plaintiff's counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs. Plaintiff seeks a \$10,000 service award. He provides a declaration indicating that he spent a total of 20 hours working on this case including providing and reviewing documents and discussing litigation strategy. (Declaration of David Isaac Tobar Ortiz in Support of Motion for Preliminary Approval of Class Action and PAGA Settlement ("Ortiz Decl."), ¶ 5.)

VI. PROPOSED SETTLEMENT CLASS

Plaintiff requests that the following settlement class be provisionally certified: "all current and former employees who are or were employed as non-exempt, hourly employees by Defendant and worked for Defendant within the State of California during the Class Period." (Settlement Agreement, ¶ 1.6.) "Class Period" means the period from October 17, 2019 through October 25, 2025. (*Id.* at ¶ 1.12.)

A. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." Code of Civil Procedure section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court" Code of Civil Procedure section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*SavOn Drug Stores*)). "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, "the court's evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled." (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court's review is more lenient in this respect. (*Id.* at pp. 93-94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context,

since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

B. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*)). A class definition satisfying these requirements puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment. (*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 1,242 class members are identifiable based on Defendants’ records. The settlement class is appropriately defined based on objective characteristics. The Court finds that the settlement class is numerous, ascertainable, and appropriately defined.

C. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.) For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*)). The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104-1105 (*Lockheed Martin*)). “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff's claims all arise from Defendant's alleged wage and hour policies and practices, which purportedly resulted in class members working off the clock and failing to receive meal and rest breaks, resulting in inaccurate wage statements.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative's interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medraza v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the class, Plaintiff asserts that he was subject to Defendant's purportedly improper wage and hour practices, including frequently working off the clock during meal breaks without pay, and frequently failing to receive compliant meal and rest breaks. (Ortiz Decl., ¶ 4.)

Finally, adequacy of representation "depends on whether the plaintiff's attorney is qualified to conduct the proposed litigation and the plaintiff's interests are not antagonistic to the interests of the class." (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) "Differences in individual class members' proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party's claim of representative status." (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any class member would have. Further, Plaintiff has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

D. Substantial Benefits of Class Certification

"[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . ." (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) "Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification." (*Ibid.*) Generally, "a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action." (*Id.* at pp. 120-121, internal quotation marks omitted.)

Here, there are approximately 1,242 class members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

VII. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be mailed to each class member and/or aggrieved employee and posted on a website maintained by the administrator, describes the lawsuit, explains the settlement, and instructs class members that they may exclude themselves from or object to the class settlement but not the PAGA settlement. The gross settlement amount and estimated deductions are provided. Class members are given 45 days from email notice to exclude themselves, or “opt out”, of the Settlement. The form of notice is generally adequate, but must be modified to instruct Class members that they may opt out of or object to the settlement simply by providing their name, without the need to provide their phone number or other personal information.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows: “Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Instructions for appearing remotely are provided at <https://santaclara.courts.ca.gov/online-services/remote-hearings> and should be reviewed in advance. Class members may appear remotely using the UDC link for Department 22 or by calling the toll free conference call number for Department 22.”

Turning to the notice procedure, the parties have selected Phoenix Settlement Administrators as the settlement administrator. No later than 14 days after Defendant delivers the class data to Phoenix, it will mail the notice packet to the class members and/or aggrieved employees, subsequent to updating class members’ and aggrieved employees’ addresses using the National Change of Address Database. Any returned notices will be re-mailed to any forwarding address provided or a better address located through a skip trace or other search. Class members and aggrieved employees who receive a re-mailed notice will have an additional 14 days to respond. These notice procedures are appropriate and are approved.

VIII. CONCLUSION

The motion for preliminary approval is GRANTED.

The final approval hearing shall take place on December 17, 2026 at 1:30 in Dept. 22.

The following class is preliminarily certified for settlement purposes: “all current and former employees who are or were employed as non-exempt, hourly employees by Defendant and worked for Defendant within the State of California during the Class Period [of October 17, 2019 through October 25, 2025].”

The Court will prepare the final order.

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Calendar Line 3

Case Name: *Jose Duran, et al. v. Blue's Roofing Co., et al.*

Case No.: 25CV478501

This is a representative Private Attorneys General Act ("PAGA") action and putative class action. Plaintiff Jose Duran ("Plaintiff") brings this action against defendants Blue's Roofing Co. and Does 1-50 inclusive for Labor Code violations and unfair business practices.

Before the Court is Defendant Blue's Roofing Co. ("Defendant")'s motion to dismiss all PAGA and class claims, motion to dismiss individual claims," and in the alternative, motion to compel arbitration and stay action ("Motion"), which is opposed by Plaintiff. As discussed below, the Court GRANTS the motion in part and DENIES the motion in part.

I. BACKGROUND

Plaintiff filed his initial complaint on October 24, 2025. On December 29, 2025, Plaintiff filed a first amended complaint ("FAC") adding a PAGA claim. On April 21, 2026, Defendant filed its Motion based on the FAC.

The FAC alleges nine causes of action. The first eight causes of action are brought individually and as a class action on behalf of Plaintiff and certain current and former employees of Defendant. The ninth cause of action is for civil penalties under PAGA and is brought as a representative action.

According to the allegations of the FAC, Plaintiff worked⁶ for Defendant as a non-exempt roofer and was paid an hourly wage. (FAC, pp. 2:13-14, 6:4-6.) Throughout the relevant period, Defendants failed to pay Plaintiff for all hours worked (including minimum wages and overtime wages), failed to provide Plaintiff with meal periods, failed to permit Plaintiff to take rest periods, failed to furnish accurate wage statements to Plaintiff, and failed to timely pay all final wages to Plaintiff when Defendants terminated Plaintiff's employment. (FAC, pp. 6:7-7:12.) Plaintiff alleges causes of action for failure to pay minimum, regular, and overtime wages, failure to provide meal periods, failure to permit rest periods, failure to pay final wages at termination, unfair business practices, and civil penalties under PAGA. (FAC, p. 1:17-27.)

Plaintiff opposes Defendant's Motion and Defendant filed a reply.

II. MOTION TO COMPEL ARBITRATION

a. Legal Standard

Defendant moves for an order compelling Plaintiff to arbitrate his individual claims against Defendant. In opposition, Plaintiff argues that the arbitration agreement contains two mutually exclusive arbitration schemes evidencing lack of mutual assent, making the arbitration agreement unenforceable.

In ruling on a motion to compel arbitration, the court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) "Under

⁶ The FAC states that Plaintiff worked for Defendant from July 2022 to June 2025. (FAC, p. 2:13-14.) The court notes that in the Declaration of Leo Ibarra In Support of Defendant's Motion to Dismiss Claims, or In the Alternative, Compel Arbitration and Stay Action ("Ibarra Decl."), declarant states that Plaintiff is still employed at Blue's Roofing Co. (Ibarra Decl., p. 3:5-6.) The court does not make a factual determination on this point and uses past tense only for consistency throughout the order.

both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19 [internal quotation marks omitted].)

In determining the rights of parties to enforce an arbitration agreement within the scope of the Federal Arbitration Act (“FAA”), “courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

But the FAA’s policy favoring arbitration ... is merely an acknowledgment of the FAA’s commitment to overrule the judiciary’s longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, 418 internal citations and quotations omitted.)

The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, “the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate”]; *Rosenthal v. Great Western Fin’l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party’s burden is a preponderance of evidence]; see *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-166 [normal formalities regarding document authentication are not required].) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

b. Discussion

To establish the existence of an arbitration agreement, Defendant submits the declaration of Leo Ibarra (“Ibarra”), President of Blue’s Roofing Co. (Ibarra Decl., p. 2:9-10.) Ibarra states that Blue’s Roofing Co. is a member of the Associated Roofing Contractors of the Bay Area Counties, Inc. (“the Association”) and subject to its collective bargaining agreement with Local Union No. 95, United Union of Roofers, Waterproofers, and Allied Workers (“the Union”). (Ibarra Decl., pp. 2:4-15, 6:23-27.) Ibarra further states that Plaintiff is a member of the Union and subject to the provisions of the collective bargaining agreement entitled “Working Agreement.” (*Id.*, at pp. 2:23-27, 3:3-4, Ex. B.) The Working Agreement which was in effect at the time of Ibarra’s employment and continues to be in effect is attached to the declaration as well as letter from the Union indicating that Plaintiff was a member of the Union. (Ibarra Decl., Exs. A-B.) Defendant contends that the Working Agreement contains an established grievance and arbitration procedure for when employment disputes arise, and that Plaintiff did not follow those procedures. (Motion, p. 14:9-10; Ibarra Decl., p. 3:20-25.)

“[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and, if any defense to its enforcement is raised, whether it is enforceable. Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence.” (*Flores v. Nature’s Best Distribution, LLC* (2016) 7 Cal.App.5th 1, 8-9, quoting *Rosenthal, supra*, 14 Cal.4th at p. 413.) Defendant has established that Plaintiff was a member

of the Union that had collectively bargained a Working Agreement with Defendant (Ibarra Decl. Ex. B.) and that at the time of Plaintiff's employment, there was a Working Agreement with an arbitration provision. (Ibarra Decl. Ex. A.) Plaintiff argues that Defendant did not meet its burden to prove that there was an enforceable agreement to arbitrate because the terms of the Working Agreement are contradictory as to arbitration and grievance procedures, thus making the agreement unenforceable.

The relevant provisions of the Working Agreement are in Article XXVIII, entitled "Joint Labor Relations Committee," in sections 1 and 3:

Section 1. There is hereby established a Joint Labor Relations Committee to be composed of two (2) representatives of the Union and two (2) representatives of the Employers which shall hold regular meetings, and special meetings as circumstances may warrant. All matters of controversy or dispute arising out of the operation of this Agreement or affecting relations between the parties hereto which cannot be settled by the duly authorized representative of the Union and the Employer directly involved shall be referred to the Joint Labor Relations Committee which shall meet within forty-eight (48) hours. All disputes or controversies must be brought to the attention of the Individual Employer within fifteen (15) calendar days of when the dispute or controversy arose, unless the dispute or controversy was not known to the employee or the Union, in which case the dispute or controversy must be brought to the attention of the Individual Employer within fifteen (15) calendar days of when the employee or Union should have known of the dispute or controversy. This time limit shall be enforced by the Committee and the Impartial Arbitrator. Should the Committee be unable to adjust or settle any such controversy or dispute by conference or negotiation, such matters shall be referred to one representative chosen by the Union and one representative chosen by the Association and Impartial Arbitrator for final and binding arbitration. A two-third (2/3) vote of the two representatives and the arbitrator shall be final and binding upon the Association, all Individual Employers and the Union and the employees. The cost of the arbitration shall be shared equally by the Union and the Association.

[Section 2 omitted]

Section 3. ARBITRATION OF WAGE AND HOUR CLAIMS AND THE CALIFORNIA PRIVATE ATTORNEYS GENERAL ACT PRECLUSION. In addition to claims for meal period, rest period and heat recovery violations, the following claims and claims for associated penalties shall be resolved exclusively through the binding arbitration before an impartial arbitrator as set forth in this paragraph, and shall not be brought in a court of law or before any administrative agency such as the California Labor Commissioner: all claims arising under the Fair Labor Standards Act, the California Labor Code and the Industrial Welfare Commission Orders (e.g. Wage Order 16) and all derivative claims arising under California Business & Professions Code section 17200, et seq. for: unpaid wages (e.g. claims for hours worked off the clock, overtime wages, minimum wages, incorrect rate(s) of pay and travel time); heat illness recovery violations, waiting time penalties; reimbursement of expenses (e.g. tools, cell phone charges, mileage and subsistence); recordkeeping of personnel files, time records and payroll records; violation of Labor Code sections 212 and 226, and all similar claims arising under applicable local law.

It is mutually agreed that this Agreement prohibits any and all violations of the sections of the California Labor Code identified in Labor Code 2699.5 and 2699(f) as well as any others that are redressable pursuant to the Labor Code Private Attorneys General Act of 2004 ("PAGA"), and that such claims shall be resolved exclusively through binding arbitration before an impartial arbitrator and not in court of law or any administrative agency, as set forth in this Section. Pursuant to California Labor Code Section 2699.6, the Parties hereby expressly and unambiguously waive the provisions of PAGA, Labor Code Section 2698, et seq., and agree that none of the provisions of that statute apply to any of the employees covered by the Agreement. This Agreement expressly authorizes the impartial arbitrator to award any and all remedies otherwise available under the California Labor Code, except the award of penalties under PAGA that would be payable to the Labor and Workforce Development Agency. Any grievance alleging a violation of PAGA shall be resolved on an individual employee basis only and any claim under PAGA to recover civil penalties or other individual relief must be arbitrated under this Agreement. The Parties also agree that any non-individual claims will be stayed and the employee will not pursue any such claims in court until after the impartial arbitrator, and not the court, issues a final and written determination as to the employee's status as a *[sic]* 'aggrieved employee.' The impartial arbitrator is without authority to preside over any PAGA claim on behalf of any other person or joined by or consolidated with any other person's PAGA claim. This agreement to exclude PAGA actions will be severable from this Agreement if there is a final judicial determination that it is invalid, unenforceable, unconscionable, void or voidable. In such case, the PAGA action must be litigated in a civil court of competent jurisdiction not in arbitration but the portion of the agreement to exclude PAGA actions that is enforceable will be enforced in arbitration.

For rest period and meal period claims, the time limit for bringing such claims is the time limit for bringing grievances under this Article XXVIII.

For all other claims covered by this section, the intent of the parties is to use the shortest time limit permitted by applicable law, as determined by the arbitrator. All substantive and procedural rights applicable to mandatory arbitration of employment claims shall be observed (e.g. the right to more than minimal discovery, payment of costs by the employer, a written award, etc.). The impartial arbitrator shall manage all such claims with due regard for the rights of the employees and the inherent advantages of arbitration over court proceedings. The arbitrator shall be authorized to award any and all remedies otherwise available by law.

Statutory claims described above (other than meal period and rest period claims) shall be initiated by an aggrieved employee by written notice within the statute of limitations period to the Individual Employer with a copy provided to the Union. Once a grievance is filed for a statutory claim(s) described above, the Union, the aggrieved employee, and the Individual Employer shall meet within thirty (30) calendar days, or other time as mutually agreed upon, to discuss and attempt to resolve the grievance. Should the grievance not be satisfactorily resolved to the satisfaction of the aggrieved employee within the foregoing time

frame, the aggrieved employee may proceed directly to arbitration under the procedures set forth in this Article.

The aggrieved employee and Individual Employer shall request a panel of five (5) labor arbitrators from the Federal Mediation and Conciliation Service. The arbitrators shall be members of the National Academy of Arbitrators and located in Northern California. The aggrieved employee and Individual Employer will select an impartial arbitrator from the panel using an alternative striking method with the party making the first strike determined by the flip of a coin. The Individual Employer shall be responsible for paying the cost of arbitration, including the arbitrator's fee. The Impartial arbitrator shall have the authority to consolidate individual statutory claims for hearing but shall not have the authority to fashion a proceeding as a class, collective or representative action, to award relief to a group or class of employees in one grievance or arbitration proceeding, and under no circumstances may the impartial arbitrator hear or preside over any class, collective, or other claim joined by or consolidated with another person's or entity's claim, unless all parties agree in writing. The impartial arbitrator shall have the authority to apply the applicable Federal, state or local law to the statutory claim(s), but shall be prohibited from interpreting this Agreement. A decision of the impartial arbitrator shall be final and binding upon the aggrieved employee and the Individual Employer.

If the impartial arbitrator determines that the resolution of a statutory claim requires an interpretation of this Agreement, the impartial arbitrator shall certify a question to the Union and Employer seeking an interpretation of the relevant Section(s) of this Agreement. However, the preceding sentence does not apply to the agreement to exclude PAGA actions and whether the arbitrator may preside over any class, collective, or other claim joined by or consolidated with another person's or entity's claim. The Union and the Employer shall provide a response to the certified question within fourteen (14) days of receipt from the impartial arbitrator. If the Union and the Employer cannot mutually agree upon the interpretation of the relevant Section(s) for the response to the certified question, the certified question shall be submitted to the panel of Arbitrator listed in Section 3 of this Article for a decision.

If a court of competent jurisdiction finds any term or clause in this Section to be invalid, unenforceable, or illegal, such a term or clause may be revised to the extent required according to the opinion of the court to render this Section enforceable or valid so as to preserve the agreement and intent to the fullest possible extent.

This Section shall apply to any representative PAGA claims, class, and/or individual claims that arise or are pending during the term of the Parties' current collective bargaining agreement, regardless of when they were filed with any court or administrative agency.

(Ibarra Decl., Ex. A.)

Section 1 and 3 of the Working Agreement outline two different procedures and remedies but Section 3 establishes a more detailed procedure specifically for the statutory claims listed. The plain language of the Working Agreement establishes that Plaintiff agreed to arbitrate the statutory claims in the FAC. The court notes Plaintiff's argument that Section 3

exempts meal and rest breaks, but the language of the Agreement does so only with respect to the “time limit for bringing such claims,” (Ibarra Decl., Ex. A), and the introductory language of Section 3 clearly states an intent to arbitrate meal and rest break claims in accordance with the procedure of Section 3: “In addition to claims for meal period, rest period and heat recovery violations, the following claims and claims for associated penalties shall be resolved exclusively through ... binding arbitration before an impartial arbitrator...” (Ibarra Decl., Ex. A.) The record does not support Plaintiff’s argument that the Working Agreement establishes two mutually incompatible procedures or that the Agreement does not sufficiently identify which disputes would be subject to arbitration and which would not, making *Flores v. Nature’s Best Distribution, LLC*, (2016) 7 Cal.App.5th 1 (*Flores*) inapposite. In *Flores*, the plaintiff signed an agreement in which she agreed to “submit all legal, equitable and administrative disputes to the American Arbitration Association for mediation and binding arbitration...except those actually covered by the grievance and arbitration procedure in the Agreement between Nature’s Best and Teamster’s Local 692.” (*Flores, supra*, 7 Cal.App.5th at p. 4.) The court held that this language did not sufficiently define which disputes would be subject to which procedure. Here, unlike *Flores*, the agreement lists the statutes and types of claims subject to arbitration. As such, Defendant has shown that Plaintiff was subject to an enforceable agreement to arbitrate the individual claims alleged in the FAC.

The Working Agreement precludes Plaintiff from pursuing PAGA or class claims. Labor Code section 2699.6 establishes that employees in the construction industry can waive their right to pursue PAGA claims through collective bargaining if the collective bargaining agreement meets certain statutory requirements (Lab. Code, § 2699.6, subd. (a).) Plaintiff does not argue that the Working Agreement does not comply with statutory requirements, but rather that the arbitration agreement as a whole evidences a lack of mutual assent and thus is unenforceable as to PAGA and class action waivers. The Working Agreement contains clear language waiving PAGA, and as explained above, the court holds that Plaintiff validly agreed to arbitrate his claims. As such, Plaintiff validly agreed to waive PAGA claims in accordance with Labor Code section 2699.6 subdivision (a). In addition, Plaintiff agreed to waive class claims. Section 3 of the Working Agreement applies to “any representative PAGA claims, class, and/or individual claims that arise or are pending during the term of the Parties’ current collective bargaining agreement[.]” (Ibarra Decl., Ex. A.) The same section also explicitly bars class arbitration: “under no circumstances may the impartial arbitrator hear or preside over any class, collective, or other claim joined by or consolidated with another person's or entity's claim, unless all parties agree in writing.” (Ibarra Decl., Ex. A.) Plaintiff agreed to arbitrate the claims he alleged in his FAC, and in that arbitration agreement, Plaintiff agreed not to arbitrate PAGA or class claims. Defendant’s motion to dismiss Plaintiff’s PAGA and class claims is GRANTED.

Plaintiff argues that the arbitration agreement does not comply with the waiver provisions of Labor Code section 512 and is unenforceable as to meal break claims. Labor Code section 512 states that employees in the construction industry can waive their right to pursue meal break claims outside arbitration if the agreement complies with the statutory requirements. (Lab. Code, § 512, subds. (e), (f).) Plaintiff argues that the Working Agreement does not comply with the statutory requirement that a collective bargaining agreement expressly provide for meal periods and provide for final and binding arbitration of meal period claims. However, Article X of the Working Agreement states the length of the work day and provides for meal period breaks. (Ibarra Decl., Ex. A.) Additionally, as explained above, the Working Agreement clearly states that meal and rest break provisions are subject to the arbitration procedures described in Section 3; the exemption for those claims applies only to the time period for pursuing a grievance and does not exempt meal period claims from the

arbitration procedure as a whole. (Ibarra Decl., Ex. A.) The Working Agreement complies with Labor Code section 512 and is enforceable.

Defendant argues that Plaintiff's individual claims should be dismissed for his failure to exhaust grievance procedures. Generally, "a party must exhaust administrative remedies before resorting to the courts." (*Coachella Valley Mosquito & Vector Control Dist. v. Cal. Public Employment Relations Bd.* (2005) 35 Cal.4th 1072, 1080.) "The failure to arbitrate in accordance with the grievance procedures in a collective bargaining agreement is analogous to the failure to exhaust administrative remedies." (*Assn. for Los Angeles Deputy Sheriffs v. County of Los Angeles* (2019) 42 Cal.App.5th 918, 927, internal citation and quotations omitted.) Section 1 of Article XXVIII of the Working Agreement provides for the following grievance and arbitration exhaustion procedure:

All matters of controversy or dispute arising out of the operation of this Agreement or affecting relations between the parties hereto which cannot be settled by the duly authorized representative of the Union and the Employer directly involved shall be referred to the Joint Labor Relations Committee which shall meet within forty-eight (48) hours. All disputes or controversies must be brought to the attention of the Individual Employer within fifteen (15) calendar days of when the dispute or controversy arose, unless the dispute or controversy was not known to the employee or the Union, in which case the dispute or controversy must be brought to the attention of the Individual Employer within fifteen (15) calendar days of when the employee or Union should have known of the dispute or controversy. This time limit shall be enforced by the Committee and the Impartial Arbitrator. Should the Committee be unable to adjust or settle any such controversy or dispute by conference or negotiation, such matters shall be referred to one representative chosen by the Union and one representative chosen by the Association and Impartial Arbitrator for final and binding arbitration. A two-third (2/3) vote of the two representatives and the arbitrator shall be final and binding upon the Association, all Individual Employers and the Union and the employees.

(Ibarra Decl., Ex. A.)

In Section 3 of Article XXVIII, the grievance procedure for statutory claims is described as follows:

Statutory claims described above (other than meal period and rest period claims) shall be initiated by an aggrieved employee by written notice within the statute of limitations period to the Individual Employer with a copy provided to the Union. Once a grievance is filed for a statutory claim(s) described above, the Union, the aggrieved employee, and the Individual Employer shall meet within thirty (30) calendar days, or other time as mutually agreed upon, to discuss and attempt to resolve the grievance. Should the grievance not be satisfactorily resolved to the satisfaction of the aggrieved employee within the foregoing time frame, the aggrieved employee may proceed directly to arbitration under the procedures set forth in this Article.

(Ibarra Decl., Ex. A.)

The Working Agreement suggests that parties intended to have an arbitrator or the Joint Labor Relations Committee decide the timeliness of claims, not a court. For disputes subject to the procedure of Section 1, the Working Agreement expressly delegates enforcement of

timeliness to entities other than the court: “the dispute or controversy must be brought to the attention of the Individual Employer within fifteen (15) calendar days of when the employee or Union should have known of the dispute or controversy. This time limit *shall be enforced by the Committee and the Impartial Arbitrator.*” (Ibarra Decl., Ex. A, italics added.) In Section 3, the Working Agreement states that “[f]or rest period and meal period claims, the time limit for bringing such claims is the time limit for bringing grievances under this Article XXVIII. For all other claims covered by this section, the intent of the parties is to use the shortest time limit permitted by applicable law, *as determined by the arbitrator.*” (Ibarra Decl., Ex. A, italics added.) Accordingly, the decision regarding whether the individual claims should be dismissed belongs to entities other than the court. The court DENIES Defendant’s motion to dismiss Plaintiff’s individual claims.

Defendant’s motion to compel arbitration and the request for stay is GRANTED.

III. CONCLUSION

Defendant’s motion to dismiss all PAGA and class claims is GRANTED, the motion to dismiss individual claims is DENIED, and the motion to compel arbitration and stay action is GRANTED with respect to Plaintiff’s individual claims.

The Court will prepare the final order.

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Calendar Line 4-5

Case Name: *Amar Bhakta v. Apple, Inc.*

Case No.: 24CV453028

This is an action under the Private Attorneys General Act (“PAGA”). Plaintiff Amar Bhakta (“Plaintiff”) alleges defendant Apple, Inc. (“Apple” or “Defendant”) suppressed employee speech, invaded employee privacy, and clawed back earned wages.

Before the Court are Apple’s motion for judgment on the pleadings and motion to bifurcate or, in the alternative, sequence discovery. The motions are both opposed and Defendant has filed replies. As discussed below, the Court GRANTS the motion for judgment on the pleadings WITH LEAVE TO AMEND. The Court will DENY the motion for bifurcation and the alternative motion for discovery sequencing.

IX. BACKGROUND

According to the operative second amended complaint (“SAC”), Apple imposes speech suppression policies regarding employees disclosing information about their wages, employees’ rights to whistle blow, and employee political activity and their lives outside of work. (SAC, ¶¶ 6-15.)

In July 2020, Apple offered Plaintiff a job as a Digital Ad Tech/Operations Manager. (SAC, ¶ 27.) His offer letter was designated “Apple Confidential,” and Plaintiff alleges, upon information and belief, that it is a boilerplate document used on a widespread basis throughout the company. (SAC, ¶ 28.) He was forced to sign Apple’s Intellectual Property Agreement (“IPA”) and agreed to comply with the terms of Apple’s Business Conduct Policy (“BCP”) as a condition of employment. (SAC, ¶ 29.) On July 15, 2020, Plaintiff signed the offer letter and IPA. (SAC, ¶ 31.) Apple’s standard offer letter, IPA, BCP, and equity plans and agreements place unlawful restraints on employee speech, competition, wage rights, autonomy, and privacy. (SAC, ¶¶ 32-57.) Plaintiff asked for permission to engage in public speaking about his area of expertise but was denied by Apple. (SAC, ¶ 62.) Apple also required that he remove and edit unprotected information about his working conditions and work at Apple from his LinkedIn profile, which limited his visibility and attractiveness in the job market thus harming Plaintiff and competitors for his services. (*Ibid.*)

Based on the foregoing, Plaintiff initiated this action on December 2, 2024, and on February 7, 2025, he filed the first amended complaint (“FAC”), which asserts separate “causes of action” under PAGA for (1) speech suppression; (2) privacy violations, surveillance, and forced patronage; and (3) wage clawbacks. Defendant filed a motion to strike portions of the FAC, which Plaintiff opposed. On October 27, 2025, the Court (Hon. Charles F. Adams) issued an order granting in part and denying in part Defendant’s motion to strike portions of the FAC, granting leave to amend.

On November 13, 2025, Plaintiff filed the operative SAC, again asserting separate “causes of action” or “claims” for violations of PAGA based on (1) speech suppression; (2) privacy violations, surveillance, and forced patronage; and (3) wage clawbacks. Defendant filed a motion to strike portions of the SAC, which Plaintiff opposed. On March 2, 2025, this Court filed an order granting in part and denying in part Defendant’s motion to strike portions

of the SAC without leave to amend. The Court struck the Labor Code section 206.5, 221, and 450 claims but left intact the claim based on Labor Code section 2802, finding that Apple should have challenged it in its initial motion to strike.

X. MOTION FOR JUDGMENT ON THE PLEADINGS

In its motion for judgment on the pleadings Apple seeks dismissal of the Labor Code section 2802 and Labor Code section 2804 claims asserted in the SAC.

A. Legal Standard

A motion for judgment on the pleadings brought by a defendant or respondent may be granted on where the petition fails to state sufficient facts to constitute a cause of action. (Code Civ. Proc., § 438, subd. (c)(1)(B)(ii).) The motion may be directed to the entire complaint or any cause of action therein. (Code Civ. Proc., § 438, subd. (c)(2)(A).) The grounds for the motion “shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 438, subd. (d).) In ruling on a motion for judgment on the pleadings, “[t]he trial court must accept as true all material facts properly pleaded, but does not consider conclusions of law or fact, opinions, speculation, or allegations contrary to law or facts that are judicially noticed.” (*Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc.* (2006) 138 Cal.App.4th 1215, 1219-1220.)

“[A] motion for judgment on the pleadings may be addressed to the pleading as a whole or to separate counts. If addressed to the pleading as a whole, the motion must be denied if even one count is good. [Citation.] If addressed to separate counts, the motion may be granted as to some counts and denied as to others. [Citation.]” (*Heredia v. Farmers Ins. Exch.* (1991) 228 Cal.App.3d 1345, 1358.)

A motion for judgment on the pleadings may be granted with or without leave to amend. Denial of leave to amend generally constitutes an abuse of discretion if the pleading does not show on its face that it is incapable of amendment. (*Virginia G. v. ABC Unified School Dist.* (1993) 15 Cal.App.4th 1848, 1852.)

B. Plaintiff’s Request for Judicial Notice

Plaintiff requests judicial notice of the following items:

- (1) Apple’s iCloud Terms and Conditions, available on Apple’s website: Exhibit A;
- (2) the English version of Apple’s iOS and iPadOS Software License Agreement (Document EA1956), available on Apple’s website: Exhibit B.

Defendant opposes the request as to both asserting, among other things, that a website is not the proper subject of judicial notice, that the iCloud terms were amended after Plaintiff employment ended, and that Plaintiff is improperly seeking to use the request for judicial notice to fill in gaps in the SAC. The Court DENIES judicial notice of the requested items because, as discussed further below, it appears to the Court that Plaintiff is attempting to use these documents, which are not mentioned in nor attached to the SAC to supplement the allegations of the SAC.

C. Analysis

The motion for judgment on the pleadings seeks dismissal of the Labor Code section 2802 and Labor Code section 2804 claims asserted in the SAC.

i. Timeliness of the Motion

Plaintiff contends that Defendant may not move for judgment on the pleadings when he has already filed two motions to strike. He relies on Code of Civil Procedure sections 435.5⁷ and 438, subdivision (g).⁸ As Defendant points out, neither of those authorities precludes a motion for judgment on the pleadings after a prior motion to strike. Nonetheless, Code of Civil Procedure section 439, subdivision (b) provides, “A party moving for judgment on a pleading that has been amended after a motion for judgment on the pleadings on an earlier version of the pleading was granted shall not move for judgment on any portion of the pleadings on grounds that could have been raised by a motion for judgment on the pleadings as to the earlier version of the pleading.” (Code Civ. Proc., § 439, subd. (b).)

Apple also argues that the motion could not have been made against the FAC because many of the allegations Plaintiff relies on in opposition to the motion were added in the SAC. The Court finds this argument unpersuasive given that many of the allegations Apple relies on in its motion, namely paragraphs 18, 71, 72, 82, 83, 95 and 97 were all present in the FAC in the substantially the same form.

Apple further argues that it can bring a non-statutory motion for judgment on the pleadings at any time prior to trial and therefore, the court can consider the instant motion. Again, the Court questions this conclusion because the motion is expressly brought under Code of Civil Procedure section 438, to which Code of Civil Procedure section 439 applies.

⁷ That section provides, in pertinent part, “A party moving to strike a pleading that has been amended after a motion to strike an earlier version of the pleading was granted shall not move to strike any portion of the pleadings on grounds that could have been raised by a motion to strike as to the earlier version of the pleading.” (Code Civ. Proc., § 435.5, subd. (b).)

⁸ That section provides,

The motion provided for in this section [a motion for judgment on the pleadings] may be made even though either of the following conditions exist:
(1) The moving party has already demurred to the complaint or answer, as the case may be, on the same grounds as is the basis for the motion provided for in this section and the demurrer has been overruled, provided that there has been a material change in applicable case law or statute since the ruling on the demurrer.

(2) The moving party did not demur to the complaint or answer, as the case may be, on the same grounds as is the basis for the motion provided for in this section.

(Code Civ. Proc., § 438, subd. (g).)

Nonetheless, to avoid delay and duplication of efforts, because the motion is fully briefed, the court will address the merits.

ii. Merits of the Motion

Labor Code section 2802, subdivision (a) provides, “An employer shall indemnify his or her employee for all necessary expenditures or losses incurred by the employee in direct consequence of the discharge of his or her duties, or of his or her obedience to the directions of the employer, even though unlawful, unless the employee, at the time of obeying the directions, believed them to be unlawful.” “Any contract or agreement, express or implied, made by any employee to waive the benefits of this article or any part thereof, is null and void, and this article shall not deprive any employee or his personal representative of any right or remedy to which he is entitled under the laws of this State.” (Lab. Code, § 2804.)

“The elements of a section 2802, subdivision (a) cause of action, as delineated by the statutory language, are: (1) the employee made expenditures or incurred losses; (2) the expenditures or losses were incurred in direct consequence of the employee’s discharge of his or her duties, or obedience to the directions of the employer; and (3) the expenditures or losses were necessary.” (*Cassady v. Morgan, Lewis & Bockius LLP* (2006) 145 Cal.App.4th 220, 230.)

As to the Labor Code section 2802 claim, Defendant contends that the SAC fails to plead that necessary expenditure that was not reimbursed because it alleges that Defendant used employees’ personal iCloud data and data contained on employees’ personal iPhones without reimbursement. In other words, Defendant claims that Plaintiff alleges only that it profited from employees data and not that employees were required to purchase anything without reimbursement. As to the Labor Code section 2804 claim, Defendant argues that the SAC does not state a claim because it does not allege a contract to waive the right to reimbursement; instead, it alleges only that employees were required to waive their rights to privacy and autonomy.

As to the Labor Code section 2802 claim, Plaintiff relies on two main theories regarding how the use of employee data constitutes a necessary expenditure or loss. The first is that employee personal data has economic value such that Apple’s use of it constitutes a loss. The second is that employees were required to sign up for iCloud, which comes with an associated cost. Thus, the contracts Plaintiff relies on to support the Labor Code section 2804 claim include the BCP, which Plaintiff claims allows Apple to access personal employee data; the iCloud terms, which allows Apple to use data contained in the iCloud accounts; and the iOS and iPadOS Software License Agreement, which Plaintiff argues caps Apple’s total liability for all damages at \$250.

As to Plaintiff’s first theory, Plaintiff maintains that when Apple requires an employee to surrender their private data and then monetizes it, the employee loses the value of the data. Plaintiff relies on *Machinists Automotive Trades District Lodge v. Utility Trailers Sales Co.* (1983) 141 Cal.App.3d 80, wherein the Court of Appeal held that Labor Code section 2802 “applies where . . . the custom of the trade requires the employee to supply his own tools for the performance of his duties, and while the employer does not require the employee to leave his tools on the employer’s premises, the tools are too heavy to be transported routinely to and from the place of employment.” (*Id.* at p. 86.) He asserts that he is seeking to extend this well-

settled law. But, in that case, the tools were stolen from the plaintiff's workplace and thus, the employee was deprived of the use of them. (See *id.* at p. 82.) Here, although the SAC alleges that data has been provided or surrendered to Apple, (SAC, ¶¶ 79-83, 86-90, 96), it does not allege that the employee loses the data. For example, the SAC contains no allegations that the employee loses access to the data, or that the employee would be precluded from monetizing the data, that the employee would be deprived of use of the data for a limited time, or that the data would lose value due to Apple's use.

As to the second theory that employees were required to sign up for iCloud and to pay for same, Plaintiff relies on *Cochran v. Schwan's Home Service, Inc.* (2014) 228 Cal.App.4th 1137, 1140 (*Cochran*), in which the Court of Appeal held "that when employees must use their personal cell phones for work-related calls, Labor Code section 2802 requires the employer to reimburse them." (Footnote omitted.) This was true even if the employees did not incur costs they would not otherwise incur due to the use required by the employer because "[o]therwise, the employer would receive a windfall because it would be passing its operating expenses on to the employee. Thus, to be in compliance with section 2802, the employer must pay some reasonable percentage of the employee's cell phone bill." (*Id.* at p. 1144.)

Plaintiff asserts that "fairly read," the SAC alleges that employees were required to pay for the iCloud accounts Apple allegedly required them to use. The court disagrees. While the SAC pleads that employees were required to become Apple consumers and it contains allegations regarding failure to reimburse, those allegations must be read as failure to reimburse employees, not for their own use of their iCloud accounts but for failure to reimburse employee's for Apple's use of their iCloud accounts (i.e., Plaintiff's first theory). (SAC, ¶ 18 [allegation regarding forcing employees to be Apple consumers], 82 ["Apple does not reimburse its employees for *its* use of their personal iCloud account."], 95 ["Apple has not reimbursed Bhakta for *its* use of his iCloud account.].)

As whether the expenses were necessary, as Defendant points out, in *Cochran*, the Court of Appeal held that the employees entitled to reimbursement because they were *required* to use their personal cell phones for work. (*Cochran, supra*, 228 Cal.App.4th at p.1139.) Here, the SAC alleges that employees are required to use Apple tools for work, which "require a personal iCloud account." (SAC, ¶ 81.) Thus, employees must either use the personal account they already have or create an account. (*Ibid.*) Plaintiff also asserts that only one iCloud "primary" account may be associated with a user so someone who already has an account must associate their work account with their preexisting account, such that the preexisting account becomes "Apple managed[.]" which causes unilateral changes to the configuration of the personal account, including the addition of a "work folder." (SAC, ¶ 83.) As pled, it does not appear that Plaintiff claims employees are required to pay for the work account. It appears that under the second theory, Plaintiff is seeking reimbursement for the changes allegedly made to the personal account when a work account is linked.

The purpose of Labor Code section 2802 is "to prevent employers from passing their operating expenses on to their employees." (*Cochran, supra*, 228 Cal.App.4th at p. 1144, quoting *Gattuso v. Harte-Hanks Shoppers, Inc.* (2007) 42 Cal.4th 554, 562, internal quotation marks omitted.) Here, Plaintiff has not adequately identified any expense stemming from the association of an employee's personal account with their work account, nor has he adequately pled the consequences of such an association such that the court could find that the personal account is being used for work purposes. Accordingly, the Court will GRANT the motion for

judgment on the pleadings as to the Labor Code section 2802 claim WITH LEAVE TO AMEND.

While Defendant argues the court should grant the motion without leave to amend, the Court does not find that the claim is incapable of amendment as a matter of law. (See *City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747 [“If the plaintiff has not had an opportunity to amend the complaint in response to the demurrer, leave to amend is liberally allowed as a matter of fairness, unless the complaint shows on its face that it is incapable of amendment. [Citations.]”]; see also *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999 [A motion for judgment on the pleadings is the functional equivalent of a general demurrer].) Here, although Plaintiff has previously amended the complaint three times, Defendant failed to raise this argument in its two prior motions to strike. Additionally, the Court is not persuaded by Defendant’s argument that the Court’s prior treatment of the Labor Code section 450 claim forecloses Plaintiff from bringing his Labor Code section 2802 claim on these facts. The Court’s prior orders explicitly indicated that Labor Code section 450 requires a purchase. But, Labor Code section 2802 requires a loss or expenditure. While the Court finds that the allegations of the SAC do not adequately plead such a loss or expenditure, the facts of this case appear to be somewhat similar to *Cochrane*.

As to the Labor Code section 2804 claim, Defendant contends that the SAC does not identify any contract or agreement that requires an employee to waive the right to reimbursement. In opposition, Plaintiff contends, citing paragraphs 18, 86-87, and 97 of the SAC, that he pleads that the BCP allows Apple to access his account information without reimbursement, which he maintains is an implied waiver of the right to reimbursement for same. Thus, it appears that the Labor Code section 2804 claim is based on Plaintiff’s first Labor Code section 2802 theory, which the Court finds to be inadequately pled. Plaintiff also relies on the “consumer agreements,” which he identifies as the iCloud Terms and Conditions and the iOS and iPadOS Software License Agreement, which are not specifically mentioned in the SAC, nor are they attached to it. Accordingly, they cannot be considered to supplemental the allegations of the complaint. The motion is GRANTED as to the Labor Code section 2804 claim WITH LEAVE TO AMEND.

XI. MOTION TO BIFURCATE

Apple moves to bifurcate discovery and trial pursuant to Code of Civil Procedure section 1048 such that the issue of whether Plaintiff has standing to pursue claims for PAGA penalties on behalf of other employees proceeds first. Alternatively, it moves to sequence discovery pursuant to Code of Civil Procedure section 2019.020, subdivision (b), to first limit discovery to Plaintiff’s individual claim for penalties under PAGA so that the parties may file early motions that may resolve the issue of Plaintiff’s standing to pursue penalties on behalf of others.

A. Legal Standards

i. Bifurcation

Code of Civil Procedure section 1048, subdivision (b) provides, “The court, in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of

action asserted in a cross-complaint, or of any separate issue or of any number of causes of action or issues, preserving the right of trial by jury required by the Constitution or a statute of this state or of the United States.” “[T]he decision to bifurcate is discretionary with the trial court.” (*Regents of University of California v. Sheily* (2004) 122 Cal.App.4th 824, 833.)

ii. Discovery Sequence

Generally, discovery may be used in any sequence. (Code Civ. Proc., § 2019.020, subd. (a) [“Except as otherwise provided by a rule of the Judicial Council, a local court rule, or a local uniform written policy, the methods of discovery may be used in any sequence, and the fact that a party is conducting discovery, whether by deposition or another method, shall not operate to delay the discovery of any other party.”].) However, “on motion and for good cause shown, the court may establish the sequence and timing of discovery for the convenience of parties and witnesses and in the interests of justice.” (Code Civ. Proc., § 2019.020, subd. (b).)

B. Apple’s Request for Judicial Notice

Apple requests judicial notice of various trial court orders from the Los Angeles County Superior Court and other judges of the Santa Clara County Superior Court. In each case, Apple contends, the court issued an order bifurcating or sequencing a PAGA action. While there is some authority on taking judicial notice of trial court orders, (*Becerra v. McClatchy Co.* (2021) 69 Cal.App.5th 913, 929 [taking judicial notice of trial court order under parallel circumstances], trial court order have “no binding or precedential effect,” having “at most, some persuasive value.” (*Id.* at p. 929.) Thus, they are of “limited relevance[.]” (*Ibid.*) Here, Apple makes its request for judicial notice with its reply. (See *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538 [“The general rule of motion practice . . . is that new evidence is not permitted with reply papers.”]; see also *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 252 [same]; *San Diego Watercrafts, Inc. v. Wells Fargo Bank, N.A.* (2002) 102 Cal.App.4th 308, 316 [same]; *St. Mary v. Superior Court* (2014) 223 Cal.App.4th 762, 783 [points raised in the first time in reply should not be considered].) Apple asserts that it seeks judicial notice because Plaintiff indicates in opposition that no California court has ever ordered what Apple seeks in the instant motion, namely staying representative PAGA litigation pending the outcome of trial on the individual claims. Under these circumstances, the court will GRANT judicial notice of the trial court orders for the limited purpose of showing that court’s have granted bifurcation of PAGA litigation.

C. Merits of the Motion

Apple contends that, for claims brought prior to June 19, 2024, a plaintiff seeking PAGA penalties on behalf of other employees need only have suffered one of the alleged violations to have standing. However, Labor Code section 2699 was amended such that the named plaintiff must have suffered each of the alleged violations to seek penalties on behalf of others. Labor Code section 2669, subdivision (c)(1) currently provides, “For purposes of this part, ‘aggrieved employee’ means any person who was employed by the alleged violator and personally suffered each of the violations alleged during the period prescribed under Section 340 of the Code of Civil Procedure” (Lab. Code, § 2699, subd. (c)(1).) Labor Code section 2699, subdivision (v) provides:

(1) Except as provided in paragraph (2), the amendments made to this section by the act adding this subdivision shall apply to a civil action brought on or after June 19, 2024.

(2) The amendments made to this section by the act adding this subdivision shall not apply to a civil action with respect to which the notice required by subparagraph (A) of paragraph (1) of subdivision (a), paragraph (1) of subdivision (b), or subparagraph (A) of paragraph (1) of subdivision (c) of Section 2699.3 was filed before June 19, 2024.

(Lab. Code, § 2699, subd. (v).)

Here, the initial complaint was filed December 2, 2024. But, Plaintiff contends that the 2024 amendment does not apply because the PAGA notice was filed on April 29, 2024. (See Lab. Code, § 2699, subd. (v).) Defendant argues that the Labor Code section 2802 claim was not stated in the PAGA notice and, thus, was alleged for the first time in the initial complaint after June 19, 2024. Citing *Hutcheson v. Superior Court* (2022) 74 Cal.App.5th 932, 937-941, Plaintiff contends that the PAGA notice relates back to the civil action as a whole and therefore, the Labor Code section 2802 claim relates back to the filing of the PAGA notice. The court need not decide whether the section 2802 claim relates back to the filing of the PAGA notice because, even assuming that Defendant is correct, the fact that only the Labor Code section 2802 claim may be subject to 2024 amendment appears to significantly limit the benefits of bifurcation since Plaintiff would have personally suffered only the Labor Code section 2802 claim to have standing as to all claims.⁹ Further, because it appears that the prior version of section 2699 would apply to most, if not all, of the claims, 2024 amendment to section 2699 does not provide a basis for distinguishing this case from any other PAGA action.

Plaintiff relies on various cases including *Williams v. Superior Court* (2017) 3 Cal.5th 531 (*Williams*), *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, and *Huff v. Securitas Security Services USA, Inc.* (2018) 23 Cal.App.5th 745, to assert that the policies behind PAGA are not served by bifurcating trial or sequencing discovery in the manner Defendant seeks. The Court agrees with Defendant that nothing in those cases prevents the Court from bifurcating this case; in fact, in *Williams* the Court explicitly recognized “that in a particular case there may be special reason to limit or postpone a representative plaintiff’s access to contact information for those he or she seeks to represent[.]” (*Williams, supra*, 3 Cal.5th at p. 544.) But, the cases do establish that the general rule is that a PAGA plaintiff is entitled to companywide discovery and such a plaintiff is not required to make a showing that they can succeed on their individual claims prior to receiving such discovery. (*Ibid.* [“the default position is that such information [companywide contact information] is within the proper scope of discovery, an essential first step to prosecution of any representative action”].)

In some of the cases Defendant relies on in which bifurcation was granted, circumstances outside the norm supported granting bifurcation in those cases. For example, in *Ortmann v. Adecco, USA, Inc.*, there was a question of whether the defendant even employed the PAGA plaintiff. (Defendant’s Request for Judicial Notice, Ex. D [Order filed May 6, 2021

⁹ The court also notes that it has granted Defendant’s motion for judgment on the pleadings as to the Labor Code section 2802 claim. While it has granted leave to amend, Plaintiff could always choose not to amend.

in *Ortmann v. Adecco, USA, Inc.*, 19CV355315], p. 3:5-7 [“Here, Google presents evidence that it did not employ Ms. Ortmann and urges that this will be an important threshold issue in the case governing her standing to bring PAGA claims against it.”].) In *Stafford v. Dollar Tree Stores, Inc.* (E.D.Cal. Nov. 20, 2014, No. 2:13-cv-1187 KJM CKD) 2014 U.S.Dist.LEXIS 163458 (*Stafford*), the Court of Appeal alluded to potential problems with discovery that could arise due to the pendency of two class action suits involving the same defendant in a different court, noting that the defendant claimed that it would have difficulty interviewing the unrepresented class members in one of the class actions. (*Id.* at *5-6.)

Here, outside of the nature of the PAGA claims themselves, which are admittedly outside the norm, Defendant points to nothing to distinguish this case from any other representative PAGA action. Defendant contends that discovery will be expensive and that Plaintiff alleges eight separate violations of the Labor Code. But, Defendant provides no evidence regarding the quantum of the expense or any reason to believe that discovery will be more complicated or burdensome than in any other PAGA case. (See Defendant’s Request for Judicial Notice, Ex. C [Order filed February 9, 2021 in *Cassell v. Google*, 17CV319202] [“Here, Google has shown through admissible, unrebutted evidence that considerable time and money may be saved if the issue of Mr. Cassel’s standing for his PAGA claims is resolved before broad discovery commences on the PAGA claims. Google claims without contradiction that the number of employees who might come within Mr. Cassel’s definition of ‘PAGA-aggrieved employees’ number in the thousands (perhaps over 10,000 employees). [Citation.] To undertake discovery concerning this many employees will be expensive and time-consuming, and that expense might be avoided if it turns out Mr. Cassel lacks standing.”]; see also *Stafford, supra*, 2014 U.S.Dist.LEXIS 163458, at *12 [“in light of the number of potential aggrieved employees, judicial economy favors deferring the representative portion of the PAGA claim until plaintiff’s status as an aggrieved employee with the right to bring this action is established”].)

The motion for bifurcation and the alternative motion for discovery sequencing, which is based on the same arguments, are DENIED.

XII. CONCLUSION

The motion for judgment on the pleadings is GRANTED WITH 20 DAYS’ LEAVE TO AMEND.

The motion for bifurcation and the alternative motion for discovery sequencing are DENIED.

The Court will prepare the final order.

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Calendar Line 6

Case Name: *Sarina Haley, et al. v. FF Properties, L.P., et al.*

Case No.: 25CV470518

Plaintiffs Sarina Haley (“Haley”), Sara Navarro (“Navarro”), and Katrina Lyons (“Lyons”) (collectively, “Plaintiffs”) bring this putative wage and hour class action against Defendants FF Properties L.P., their employer, and FF Properties II LP (collectively, “Defendants”).¹⁰

Before the Court is Defendants’ motion to compel arbitration. The motion is opposed and Defendants have filed a reply. As discussed below, the Court GRANTS the motion.

XIII. BACKGROUND

Defendant FF Properties L.P. is a Delaware limited partnership registered to do business in California as Fairfield Properties L.P., manages over 37,000 rental units, in addition to providing development, construction, renovation, asset and property management, and acquisition and disposition services, in 15 states. (Declaration of Jen Perley in Support of Defendants’ Motion to Compel Arbitration (“Perley Decl.”), ¶ 2.) FF Properties II LP is a separate entity affiliated with Fairfield and also a Delaware limited partnership registered to do business in California that manages approximately 5,000 rental units in nine states across the United States. (*Id.*, ¶¶ 1, 3.)

In the operative first amended complaint (“FAC”), Plaintiffs assert that they were or are employed by Defendants. (FAC, ¶ 18.) Haley worked for Defendants from July 2024 to the time of the filing of the FAC. (FAC, ¶ 25.) Lyons was employed by Defendants from December 2021 through approximately February 2022. (FAC, ¶ 26.) Navarro was employed by Defendants from September 2020 through approximately March 2023. (FAC, ¶ 27.) During their employment, Defendants failed to pay Plaintiffs for all hours worked, caused or allowed them to work “off the clock,” failed to pay them overtime wages, failed to provide them with meal and rest periods, failed to reimburse them for time spent working during meal periods, and failed to reimburse them for required business expenditures. (FAC, ¶¶ 2-4, 12, 20-22, 30-32, 56.)

Based on the foregoing, Plaintiffs initiated this action on July 14, 2025, with the filing of the original complaint, which they purport to bring on behalf of themselves and others similarly situated. On October 15, 2025, Plaintiffs filed the operative FAC, which asserts the following causes of action: (1) failure to pay minimum wage (Lab. Code, §§ 1194, 1197, and 1197.1); (2) failure to pay overtime wages (Lab. Code, §§ 510 and 1198); (3) meal break violations (Lab. Code, §§ 226.7 and 512, subd. (a)); (4) rest break violations (Lab. Code, § 226.7); (5) failure to timely pay wages during employment (Lab. Code, §§ 204 and 210); (6) wage statement violations (Lab. Code, § 226, subd. (a)); (7) failure to timely pay final wages (Lab. Code, §§ 201, 202, and 203); (8) failure to reimburse for business expenditures (Lab. Code, §§ 2800 and 2802); (9) violations of Business and Professions Code sections 17200, et

¹⁰ Defendants contend that FF Properties II LP never employed any of the Plaintiffs and that it was erroneously sued.

seq.; (10) violations of the Private Attorney General Act (“PAGA”) (Lab. Code, §§ 2698, et seq.).¹¹

XIV. DEFENDANTS’ MOTION TO COMPEL ARBITRATION

Defendants seek an order (1) compelling Plaintiffs to arbitrate their individual claims, including Haley’s individual PAGA claim, (2) dismissing Plaintiffs’ putative class claims, and (3) staying the remaining non-individual PAGA representative claims.

A. Legal Standard

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.) The agreement at issue expressly provides that it is governed by the Federal Arbitration Act (the “FAA”) and not any state arbitration law to the maximum extent permitted by law.

The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Rosenthal v. Great Western Fin’l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party’s burden is a preponderance of evidence].) A moving party can meet their initial burden by showing that an agreement to arbitrate the dispute exists. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 (*Espejo*).) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236; see also *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569 [“California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts”]; 9 U.S.C. § 2 [An arbitration agreement “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract”].)

B. Merits of the Motion

i. Existence of an Agreement

On a motion to compel arbitration, “the moving party bears the burden of producing ‘prima facie evidence of a written agreement to arbitrate the controversy.’ [Citation.]” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) “The moving party

¹¹ The PAGA cause of action is brought by Haley only.

‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’ [Citation.]” (*Ibid.*)

Here, Defendants have provided the declaration of Jorge Farfan, a human resources director for FF Properties L.P. (Declaration of Jorge Farfan in Support of Defendants’ Motion to Compel Arbitration (“Farfan Decl.”), ¶ 1.) Farfan declares that FF Properties L.P. uses a Workday system for employees to login and sign documents. (*Id.*, ¶¶ 2-3.) Within that system, employees can create an electronic signature and when a document is signed, the system creates an “audit trail” that records the identity of the employee who signed the document. (*Id.*, ¶¶ 4-5.) The declaration includes the audit trails for documents signed by all three Plaintiffs, (Exs. A-C), and signed agreements for all three Plaintiffs (Exs. D-F). Defendants have also provided the declaration of Jen Perley, another human resources director for FF Properties L.P. (Declaration of Jen Perley in Support of Defendants’ Motion to Compel Arbitration (“Perley Decl.”), ¶ 1.) That declaration attaches copies of the signed arbitration agreements found in Plaintiffs personnel files. (*Id.*, Exs. D-F.)

Plaintiffs maintain that Defendants have not established that Plaintiffs agreed to arbitration. They point to discrepancies between the audit trails and the signed documents and the signatures on the agreements. As to Plaintiff Navarro, Plaintiffs contend that Navarro was required to sign the arbitration agreement as part of an employee handbook and the audit trail shows only that Navarro signed the employee handbook, not the arbitration agreement specifically. (See Farfan Decl., ¶ 5, Ex. A.) Plaintiffs also point to what appears to be a discrepancy between the times Navarro signed the agreements and the times listed in the audit trail. But, Defendants explain that the times listed on the audit trail are in Eastern Standard time, while the times listed on the signed copies of the arbitration agreement are in Pacific time because they were signed in California. (See Supplemental Declaration of Jorge Farfan in Support of Defendants’ Motion to Compel Arbitration (“Farfan Supp. Decl.”), ¶¶ 13-15.)

Navarro also declares that she never received or signed an arbitration agreement, Defendants’ management never discussed an arbitration agreement with her, and she would not have knowingly agreed to waive her right to bring claims in court. (Declaration of Sara Navarro in Support of Plaintiffs’ Opposition to Defendants’ Motion to Compel Arbitration, ¶¶ 6-7.) She states that her Workday account was accessible by others, including supervisors and managers at her workplace, who would change her Workday time entries. (*Id.*, ¶ 5.) But, Farfan declares that a manager can change an employee’s time records using their own Workday password and managers would not have the ability to sign a document for an employee because that is a separate module within the Workday system. (Farfan Supp. Decl., ¶ 4.) Employees are required to create their own passwords for the Workday system managers are unable to retrieve those passwords. (*Id.*, ¶¶ 2-3.) No other person could have signed for Navarro without using her unique username and password. (*Id.*, ¶ 5.) The Court also notes that Navarro’s signature on the December 31, 2021 arbitration agreement is extremely similar to the signature on her declaration in support of the opposition to the instant motion. (Compare *id.* with Farfan Decl., Ex. D; Evid. Code, § 1417 “The genuineness of handwriting, or the lack thereof, may be proved by a comparison made by the trier of fact with handwriting (a) which the court finds was admitted or treated as genuine by the party against whom the evidence is offered or (b) otherwise proved to be genuine to the satisfaction of the court.”].) Accordingly, the court finds that Navarro signed the agreement.

As to Plaintiff Haley, Plaintiffs repeat their arguments regarding the discrepancies in the timestamps on the audit trail as compared to the arbitration agreement itself. Haley has also provided a declaration in which she indicates that she recalls signing documents through Workday but she does not remember signing an arbitration agreement. (Declaration of Sarina Haley in Support of Opposition to Defendants' Motion to Compel Arbitration, ¶ 7.) Again, the court finds that the time stamp discrepancies do not establish that Haley did not sign the arbitration agreement. Defendants have provided sufficient evidence to establish that Haley signed the agreement.

As to Plaintiff Lyons, Plaintiffs contend that the audit trial does not show that she signed either the arbitration agreement or the employee handbook. (See Farfan Decl., Ex. B.)¹² But, in his supplemental declaration, Farfan explains that the arbitration agreement indicates that it was signed on "Dec 7, 2021 13:02 PST," which corresponds with the signing of the "Policy Acknowledgement V3" on "12/07/2021 04:03:09 PM[.]" which corresponds to 1:03 p.m. in Pacific time. (Farfan Supp. Decl., ¶ 17, citing Farfan Decl., Ex. E.) Defendants have provided sufficient evidence to establish that Lyons signed the agreement.

ii. Enforceability by FF Properties II LP

As a rule, "parties can only be compelled to arbitrate when they have agreed to do so." [Citation.] (*Williams v. Atria Las Posas* (2018) 24 Cal.App.5th 1048, 1053.) "However, both California and federal courts have recognized limited exceptions to this rule, allowing nonsignatories to an agreement containing an arbitration clause to compel arbitration of, or be compelled to arbitrate, a dispute arising within the scope of that agreement." (*DMS Services, LLC v. Superior Court* (2012) 205 Cal.App.4th 1346, 1353; see also *Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513 [describing "six theories by which a nonsignatory may [compel or] be bound to arbitrate: '(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary'"].)

Here, Defendants contend that FF Properties II LP may enforce the arbitration agreement, although not a signatory, because it is a subsidiary of FF Properties L.P., a signatory, and because Plaintiff is estopped from asserting that the agreement does not apply to FF Properties II LP. Plaintiff does not argue that FF Properties II LP cannot enforce the agreement because it is not a signatory. Accordingly, the Court finds that, to the extent the agreement is enforceable, it is enforceable by both Defendants.

iii. Unconscionability

Plaintiffs contend that the arbitration agreement is procedurally and substantively unconscionable and, therefore, unenforceable. "A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party. [Citation.]" (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125 (*OTO*)). Unconscionability has both procedural and substantive elements. (*Armendariz v. Foundation Health Psychare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*); *Jones v. Wells Fargo Bank* (2003) 112 Cal.App.4th 1527, 1539 (*Jones*)). Both must appear for a court to invalidate a contract or one of its individual terms, (*Armendariz, supra*, 24 Cal.4th at p. 114; *Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 174), but

¹² Lyons does not provide a declaration in support of the opposition.

they need not be present in the same degree: “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz, supra*, 24 Cal.4th at p. 114.) Courts may find a contract as a whole or any clause of the contract to be unconscionable. [Citation.]” (*Najarro v. Superior Court* (2021) 70 Cal.App.5th 871, 882.)

1. Procedural Unconscionability

Procedural unconscionability focuses on the elements of oppression and surprise. (*Armendariz, supra*, 24 Cal.4th at p. 114.) “Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice,” while “[s]urprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position.” (*Davis v. TWC Dealer Group, Inc.* (2019) 41 Cal.App.5th 662, 671, internal citation and quotation marks omitted.) “Circumstances showing oppression include (1) the amount of time an employee is given to consider a contract; (2) the pressure exerted on him to sign it; (3) its length and complexity; (4) his education and experience; and (5) whether he had legal assistance. [Citation.]” (*Nunez v. Cycad Management LLC* (2022) 77 Cal.App.5th 276, 284.)

Plaintiffs argue the agreement is one of adhesion. (See *Armendariz, supra*, 24 Cal.4th at p. 115 [“in the case of preemployment arbitration contracts, the economic pressure exerted by employers on all but the most sought-after employees may be particularly acute, for the arbitration agreement stands between the employee and necessary employment, and few employees are in a position to refuse a job because of an arbitration requirement”].)

An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power on a take-it-or-leave-it basis. [Citations.] Arbitration contracts imposed as a condition of employment are typically adhesive [citations], and the agreement here is no exception. The pertinent question, then, is whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required. [Citations.] Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form. [Citations.]

(*OTO, supra*, 8 Cal.5th at p. 126, internal quotation marks omitted.)

Here, Plaintiffs assert that they were required to sign the arbitration agreements as a condition of employment. They rely on provisions in their employment offer letters, stating, “All of our associates are offered employment contingent on their agreement to arbitrate all claims which applicable federal and state law provides may be subject to arbitration.” (See Perley Decl., ¶¶ 8-11, Exs. A-C.) Plaintiffs also contend that they lacked equal bargaining power because Defendants are large nationwide companies and that the agreements were provided as preprinted forms contained within the employee handbook and they could not negotiate the terms. In reply, Defendants do not argue that the agreement is not one of adhesion.

A contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedurally unconscionability is increased when the fact

of an adhesion contract is combined with other issues. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) The Court finds that a modest degree of procedural unconscionability is present based on the requirement that Plaintiffs sign the agreement to begin employment with Defendants.

Plaintiffs also argue that the fact that the arbitration agreement was present in the employee handbook and the acknowledgement of receipt of the handbook did not mention arbitration adds to the surprise. But, the arbitration agreements require a separate signature and the agreements are headed with large bolded text stating, “**Agreement to Mutual Mandatory Arbitration of Disputes[.]**” (Farfan Decl., Exs. D-F.) The agreements further advise in bold-faced type, “**Arbitration: Please Read Carefully[.]**” (Farfan Decl., Exs. D-F.) Additionally, in all caps, the agreements state, “BY AGREEING TO THIS BINDING MUTUAL ARBITRATION PROVISION, BOTH THE COMPANY AND I GIVE UP ALL RIGHTS TO TRIAL BY JURY.” (Farfan Decl., Exs. D-F.) All three Plaintiffs signed the arbitration agreement itself. Accordingly, the Court finds that the fact that the acknowledgement of receipt of the handbook may not have mentioned the arbitration agreement does not add procedural unconscionability.

Plaintiffs further contend that increased surprise is present here because the arbitration agreements failed to identify or make available the rules of arbitration. In *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 244, on which Plaintiffs rely, the Court of Appeal found the arbitration agreement at issue to be moderately unconscionable because the “Agreement requires Carbajal to arbitrate her claims ‘in accordance with the rules of the [AAA]’ without identifying which of AAA’s nearly 100 different sets of active rules will apply. Before requiring Carbajal to sign the Agreement, CW Painting did not provide Carbajal a copy of the rules it thought would govern, tell her where she could find a copy of the rules, offer to explain the arbitration provision, or give her an opportunity to review any rules.”

Here, the agreement provides:

The arbitration will be conducted in or near the city where I am or was last employed by the Company in accordance with the American Arbitration Association’s (“AAA”) Employment Arbitration Rules (the “Rules”). [¶] I acknowledge that I have been provided the opportunity to review the Rules or obtain a copy of them from Human Resources before signing this Acknowledgment Form, and I also understand that the Rules are available on-line in both English (at www.adr.org/employment) and Spanish (at www.adr.org/sites/default/files/Employment%20Arbitration%20Rules%20and%20Mediation%20Procedures%20-%20Spanish.pdf).

Plaintiffs contend that they were “forced” to go to a different source to find the arbitration rules. They also argue that, if one follows the link to the English rules, they are not taken directly to the applicable rules themselves; instead, they must click “See Rules,” which takes them to 10 hyperlinks, none of which is titled “Employment Arbitration Rules.” Plaintiffs maintain that the closest link is titled, “Employment/Workplace Arbitration Rules and Mediation Procedures[.]” But, that argument ignores that the 10 hyperlinks are also labeled with the categories “Rules,” “Fee,” “Form” and “Other” and the only link with the “Rules” label is the one titled “Employment/Workplace Arbitration Rules and Mediation Procedures[.]” Thus, finding the relevant rules using the link does not appear to be unreasonably difficult.

(See *Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 691 [“There could be no surprise, as the arbitration rules referenced in the agreement were easily accessible to the parties—the AAA rules are available on the Internet.”].) Notably, Plaintiffs do not argue that they were rushed to complete the agreement or that they would not have the opportunity to review the rules on the Internet prior to signing.

Plaintiffs argue that the link to the Spanish language version of the rules is broken but they do not contend that any of the named Plaintiffs speak Spanish, such that they would have needed to look at the Spanish language version of the rules.

As discussed above, the Court finds a modest degree of procedural unconscionability but, the agreement is not unconscionable unless substantive unconscionability is also present.

2. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create “overly harsh” or “one-sided results”, (*Armendariz, supra*, 24 Cal.4th at p. 114, internal citation and quotations omitted), that is, whether they reallocate risks in an objectively unreasonable or unexpected manner, (*Jones, supra*, 112 Cal.App.4th at p. 1539.) “In assessing substantive unconscionability, the paramount consideration is mutuality.” (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241, internal citation and quotation marks omitted.) Arbitration agreements are substantively unconscionable where they lack a “modicum of bilaterality,” “without at least some reasonable justification for such one-sidedness based on ‘business realities.’ ” (*Armendariz, supra*, 24 Cal.4th at p. 117.)

“Substantive unconscionability examines the fairness of a contract’s terms. This analysis ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as overly harsh, unduly oppressive, so one-sided as to shock the conscience, or unfairly one-sided. All of these formulations point to the central idea that the unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party.” (*OTO, supra*, 8 Cal.5th at pp. 129-130, internal citation and quotations omitted.)

Plaintiffs argue that the AAA rules do not provide for a minimum level of discovery and that Defendants retained the sole authority to modify the arbitration agreement.¹³ But, the arbitration agreement itself provides for full discovery: “In any such arbitration, both the Company and I may conduct discovery to the same extent as would be permitted in a court of law.” (Farfan Decl., ¶¶ D-F.) The agreement further provides that “[a]ny conflict between the terms of the Rules and the terms of this Agreement shall be resolved in favor of those in this Agreement, except as necessary to make this Agreement enforceable.” (Farfan Decl., ¶¶ D-F.) Accordingly, the Court rejects Plaintiffs’ argument on this point.

¹³ Plaintiffs make these arguments in their section regarding procedural unconscionability but they would appear to be substantive unconscionability arguments. (See, e.g., *Haydon v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1290 [mentioning that adequacy of discovery is a consideration in the context of substantive unconscionability] *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 506 [discussing discovery in the context of substantive unconscionability].)

As to the argument regarding authority to modify the agreement, Plaintiffs rely on the acknowledgement of receipt of the employee handbook, which states, “the Company reserves the right to revise, delete, and add to the provisions of this Associate Handbook. I also acknowledge that, except for the policy of at-will employment, terms and conditions of employment with the Company may be modified at the sole discretion of the Company with or without cause or notice at any time.” No such provision is contained in the arbitration agreement itself. In *Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 386, the Court of Appeal held that a modification provision contained in an employee handbook did not govern the arbitration agreement, which was contained in an appendix to the handbook. Here, similarly, the arbitration agreement is signed separately and is not governed by the modification provision in the handbook.

Plaintiffs next argue that the agreement lacks mutuality as to the parties bound by it. Specifically, they contend that the arbitration agreement provides that employees must agree that “any controversy, claim or dispute between me and the Company (and/or any of its owners, directors, officers, associates, volunteers or agents) relating to or arising out of my employment or the cessation of my employment will be submitted to final and binding arbitration as the exclusive remedy for such controversy, claim or dispute.” (See Farfan Decl., Exs. D-F.) But, Plaintiffs maintain that individuals and entities affiliated with Defendants do not need to arbitrate any claims they might have against Plaintiffs.

In *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 326-328 (*Cook*), the Court of Appeal found an arbitration agreement substantively unconscionable where “the agreement provides benefits to broad swaths of third party beneficiaries only in favor of USC without any showing of justification for this one-sided treatment. This confers a benefit on USC and its broadly defined ‘related entities’ that is not mutually afforded to Cook. USC does not attempt to justify this one-sidedness. No explanation is offered as to why Cook should be required to give up the ability to ever bring claims in court against a USC employee that are unrelated to USC or her employment there.” The court reasoned, “There is no question that it is more difficult for a party to enforce an arbitration agreement against a nonsignatory than it is for a nonsignatory to enforce an arbitration agreement against a party.” (*Id.* at p. 327.) The court explained that the third party beneficiaries could enforce the agreement simply by showing that the agreement was intended to benefit them but for the plaintiff, a party to the agreement, to enforce the agreement against the third party beneficiaries, she would have to show that the third party beneficiaries actually accepted a benefit under the agreement. (*Id.* at pp. 327-328.)

Here, unlike in *Cook*, the claims that must be arbitrated are limited to those “relating to or arising out of my employment or the cessation of my employment[.]” (Farfan Decl., Exs. D-F.) The agreement also provides, “Possible disputes covered by the above include but are not limited to unpaid wages, breach of contract, torts, violation of public policy, discrimination, harassment, or any other employment-related claims under laws including but not limited to Title VII of the Civil Rights Act of 1964, the Americans With Disabilities Act, the Age Discrimination in Employment Act, the California Fair Employment and Housing Act, the California Labor Code, and any other statutes or laws relating to an associate’s relationship with his/her employer, regardless of whether such dispute is initiated by me or the Company. Thus, this agreement to arbitrate also applies to any and all claims that the Company may have against me, including but not limited to, claims for misappropriation of Company property, disclosure of proprietary information or trade secrets, interference with contract, trade libel,

gross negligence, or any other claim for alleged wrongful conduct or breach of the duty of loyalty by me.” (See Farfan Decl., Exs. D-F.) Similarly, *Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91, 108, on which Plaintiffs also rely, is distinguishable because there, “the arbitration agreement [was] not limited to claims arising out of the employment relationship. Instead, it applie[d] to any claim that might arise at any time between Stoker and Blue Origin or its parent, subsidiaries, affiliates, successors or assigns, or employees of any of these entities.”

Plaintiffs also maintain that the arbitration agreement is substantively unconscionable because it contains a class action waiver that would only limit the employee’s rights. In *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, 1062, on which Plaintiff relies, the Court of Appeal found that the agreement before it was “one-sided because it requires the parties to bring their claims ‘in an individual capacity,’ not ‘in a private attorney general capacity,’ and prohibits class, representative, or private attorney general proceedings. These requirements can fairly be read to limit only the employee’s rights. But, as Defendants point out, class action waivers are enforceable under the FAA. (*Epic Sys. Corp. v. Lewis* (2018) 584 U.S. 497, 502.)

Plaintiffs further contend that the arbitration agreement contains a wholesale PAGA waiver. (See *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 495 (*Alberto*) [“Both before and after *Viking River Cruises*, blanket waivers of PAGA claims are unconscionable.”].)¹⁴ Although Defendants argue that *Alberto* is distinguishable, do not assert that the PAGA waiver does not render the agreement unconscionable; instead, they contend that the PAGA waiver is severable. The Court will discuss severability below.

Plaintiffs argue that the jury trial waiver in the agreement also render it unconscionable. But, the authority on which they rely does not support this argument. Plaintiffs cite *Grafton Partners v. Superior Court* (2005) 36 Cal.4th 944. That case did not involve an arbitration agreement and the Court of Appeal in that case explicitly stated “arbitration agreements are distinguishable from waivers of the right to jury trial in that they represent an agreement to avoid the judicial forum altogether.” (*Id.* at p. 955.) Plaintiffs also cite *Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, where the issue was that the arbitration agreement *did not* contain an express jury waiver but the court recognized that “[w]hen parties agree to submit their disputes arbitration they select a forum that is alternative to, and independent of, the judicial -- a forum in which, as they well know, disputes are not resolved by juries.” (*Id.* at pp. 713-714.)

Finally, Plaintiffs assert that the arbitration agreement improperly requires arbitration of sexual harassment claims, in violation of the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021. Notably, Plaintiffs cite no authority for this proposition and,

¹⁴ The *Alberto* court refers to the relatively recent United States Supreme Court opinion *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 [213 L. Ed. 2d 179, 142 S.Ct. 1906] (*Viking River*). As explained in *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1117 (*Adolph*), “In [*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348 (*Iskanian*)], we held that a predispute categorical waiver of the right to bring a PAGA action is unenforceable (*Iskanian, supra*, 59 Cal.4th at pp. 382-383) — a rule that *Viking River* left undisturbed (see *Viking River, supra*, 596 U.S. at p. ____ [142 S.Ct. at pp. 1922–1923, 1924–1925] [the FAA does not preempt this rule]).”

in any event, they do not raise a sexual harassment claim. (See *People v. Dougherty* (1982) 138 Cal.App.3d 278, 282 [a point asserted without argument or authority in support is without foundation and requires no discussion].)

The Court finds that the wholesale PAGA waiver renders the arbitration agreement somewhat substantively unconscionable.

iv. Severability

Having found modest procedural unconscionability and having found the wholesale PAGA waiver substantively unconscionable, the Court will turn to whether the PAGA waiver may be severed. The arbitration agreement provides, “If any provision of this agreement is held to be void, null, or unenforceable, such provision should be severed and the remaining portions will remain in full force and effect.”

“[W]hether to sever is within the trial court’s discretion.” (*Navas v. Fresh Venture Foods, LLC* (2022) 85 Cal.App.5th 626, 636-637.) “ ‘In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever unless the agreement is “permeated” by unconscionability.’ [Citation.] [¶] An agreement to arbitrate is considered ‘permeated’ by unconscionability where it contains more than one unconscionable provision. [Citation.] ‘Such multiple defects indicate a systematic effort to impose arbitration on [the nondrafting party] not simply as an alternative to litigation, but as an inferior forum that works to the [drafting party’s] advantage.’ [Citation.] An arbitration agreement is also deemed ‘permeated’ by unconscionability if ‘there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement.’ [Citation.] If ‘the court would have to, in effect, reform the contract, not through severance or restriction, but by augmenting it with additional terms,’ the court must void the entire agreement.” (*Magno v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 292; see also *Armendariz, supra*, 24 Cal.4th at p. 124 [presence of more than one unconscionable provision weighs against severance].)

Here, the court does not find that the agreement is permeated by unconscionability having found only one unconscionable provision and a modest amount of procedural unconscionability. The arbitration agreement does not refer to PAGA explicitly but it does preclude “representative” and “collective” actions in addition to “class” actions. Court hereby severs the references in the arbitration agreement to “representative” and “collective” actions. With those references severed, the Court finds the arbitration agreement enforceable.

v. Staying the Action

Finally, Plaintiffs contend that the Court should allow the PAGA claim to proceed in court regardless of the outcome of the motion. The thrust of their argument appears to be that they should not be required to wait for the arbitration to conclude to pursue penalties under PAGA. But, in *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1125, the California Supreme Court recently explained that “[w]hen an action includes arbitrable and nonarbitrable components, the resulting bifurcated proceedings are not severed from one another; rather, the court may ‘stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement.’ (9 U.S.C. § 3; see Code Civ. Proc., § 1281.4.)” Accordingly, a stay of the individual portion of the PAGA claim is appropriate.

XV. CONCLUSION

The motion to compel arbitration is GRANTED. The class claims are ordered dismissed. All individual claims, including the individual PAGA claim are ordered to arbitration. The representative PAGA claim will remain in court. This action is stayed pending the outcome of arbitration.

The Court will prepare the final order.

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